

LG Electronics (LGEINDIA)

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LG Electronics India Limited

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LGEIL/CGC/2025 -26/42

Date: February 18 , 2026

National Stock Exchange of India Limited BSE Limited

Exchange Plaza, C -1, Block G Phiroze Jeejeebhoy Towers

Bandra Kurla Complex, Dalal Street,

Bandra (E), Mumbai – 400 051 Mumbai – 400 001

NSE Symbol: LGEINDIA Scrip Code: 544576

Sub: Transcript of Earnings Call in respect of Financial Results for the quarter and nine months ended December 31 , 2025

Dear Madam/Sir,

This is in reference to the Company's intimation dated February 04, 2026 filed with the Stock Exchanges pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , regarding the Earnings call held to discuss the financial results of the Company for the quarter and nine months ended December 31, 2025 , which was scheduled on February 12, 2026 .

Further to the audio recording already submitted to the Stock Exchanges, we hereby enclose the Transcript of the said Earnings Call.

The same is also available on the Company's website at:
<https://www.lg.com/in/investorrelations/quarterly-reports/>

You are requested to take the same on record.

Thanking You,

Yours truly,
For LG Electronics India Limited

(Anuj Goyal)
Company Secretary and Compliance Officer

Encl: As above

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"LG Electronics India Limited
Q3 FY '26 Earnings Conference Call"
February 12, 2026

MANAGEMENT : MR. DONGMYUNG SEO – WHOLE -TIME DIRECTOR &
CFO
MR. SANJAY CHITKARA – CO-CHIEF SALES &
MARKETING OFFICER

MR. ATUL KHANNA – CHIEF ACCOUNTING OFFICER
MR. GAGANJEET SINGH – CHIEF MANUFACTURING
OFFICER
MR. GURPINDERJEET SINGH – HEAD, FINANCIAL
PLANNING
MR. SOONJOO SEO – INVESTOR RELATIONS OFFICER
MR. ADITYA BHASIN – HEAD, INVESTOR RELATIONS

MODERATOR : MR. BHAVANI KUMAWAT – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the LG Electronics India Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that, this conference is being recorded.

I would now like to hand the conference over to Mr. Bhavani Kumawat from Axis Capital.

Thank you, and over to you, sir.

Bhavani Kumawat: Yes, thank you so much. On behalf of Axis Capital, I would like to welcome all the participants to the Q3 FY '26 Earnings Conference Call of LG Electronics India Limited. I would like to inform you that, the call is being recorded and the audio call and transcript will be available on the company website.

First of all, I would like to thank LG Electronics for giving us the opportunity to host the call and would now like to hand over the call to Mr. Aditya Bhasin, Head Investor Relations. Thanks, and over to you, sir.

Aditya Bhasin: Thank you, Bhavani. A very good evening to everyone. I would like to welcome you to the Q3 FY '26 Earnings Call of LG Electronics India Limited. Hope you have gone through our earnings presentation uploaded on our website and Stock Exchange.

I also want to remind you of the Safe Harbor. We may be making some forward-looking statements that have to be understood in the conjunction with the uncertainties and the risks that the company faces.

We have our senior management here today with us, being represented by Mr. Dongmyung Seo, Chief Financial Officer; Mr. Sanjay Chitkara, Co-Chief Sales and Marketing Officer; Mr. Atul Khanna, Chief Accounting Officer; Mr. Gaganjeet Singh, Chief Manufacturing Officer; Mr. Gurbinderjeet Singh, Head Financial Planning; and Mr. Soonjoo Seo, Investor Relations Officer. Without further delay, I would like to invite our CFO, Mr. Dongmyung Seo, to share his opening remarks and take us through the long-term vision for LG Electronics India. Thank you and over to you, sir.

Dongmyung Seo: Namaste. Good evening, everyone, and thank you for joining us today. It is an honor to present our second earnings report as a listed company today. We are pleased to share LG Electronics India's financial results for the third quarter of FY 2026.

First of all, let me provide an overview of this year's business environment. The business landscape has been impacted by several external pressures, including US tariffs, sharp currency fluctuations, purchases deferments following the GST announcement, geopolitical uncertainties, and softening consumer demand driven by rising prices. Despite these challenges, we continued

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to expand our market share and strengthened our leadership in premium product categories such as OLED TVs, side-by-side refrigerators, and five-star air conditioners.

The fourth quarter also began on a positive note, with strong demand across categories, particularly in home appliances, supported by our successful transition to the new BEE ratings. Backed by robust execution and solid fundamentals, we expect to exceed our performance from last year's fourth quarter.

Now, let me highlight several achievements that further show our leadership, innovation, and long-term commitment to the Indian market. Firstly, we secured an incentive of INR705 crores from the Government of Maharashtra, strengthening our manufacturing base and reaffirming our long-term investment in India.

Secondly, we were among the first brands to launch India's first 2026 BEE compliant air

conditioners, showcasing LG's leadership in energy -efficient technology. Thirdly, we received the National Energy

Conservation Award from the President of India for Home Appliance of the Year for our washing machine, another testament to LG's commitment to innovation and leadership.

Finally, subject to external factors including market situation, we aim to double our export value by exporting premium products manufactured in India to the US and Europe, supported by the India -US tariff negotiations and the India -EU FTA negotiations.

With this foundation, I will now hand over to our IRO, Soonjoo Seo , who will share the progress we are making towards our future vision. Thank you.

Soonjoo Seo: Thank you, Mr. CFO. Let me now provide an update on the progress of our future vision. As part of our Make for India strategy, LG Electronics India is strengthening its product roadmap by combining global technology leadership with deep insight into the Indian customers. The best example of this is our new Essential Series, a product range designed for aspiring consumers and first -time buyers, and has been launched in under -penetrated regional markets, where it has received an excellent response.

We remain committed to growing alongside Indian customers by offering high -quality products at reasonable prices, backed by LG's trusted technology. Aligned with our Make in India strategy, we are accelerating manufacturing expansion through the construction of our third manufacturing plant in Sri City, Andhra Pradesh. Construction is progressing smoothly and we plan to begin production of combined heating and cooling air conditioners in the fourth quarter of this year, followed by compressor production in the next phase.

Our two other plants continue to operate with a strong supply chain, efficient logistics, and industry -leading operational excellence. As our manufacturing ecosystem strengthens, we are accelerating localization to further reduce costs, shorten time to market, and deliver great value to our Indian customers.

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In line with our Global South strategy, we are leveraging India's robust manufacturing capabilities to expand exports of premium products. As the CFO mentioned earlier, the Indian government's proactive measures, particularly the rationalization of the India-US tariffs to 18% and the conclusion of the India -EU Free Trade Agreement, have significantly improved the export outlook.

We see this as an important step toward realizing our vision of Make India Global. While subject to changing, depending on external factors including market situation, we are optimistic about doubling our export of premium India -manufactured products next fiscal year, primarily driven by export to the US and Europe. These exports will not only support sales growth, but also enhance domestic premium production and improve margins, strengthening LG India's position as a future global export hub.

These factors highlight the resilience of LG India's business model and the enduring strength of our brand. LG India is focused on building a strong foundation for the future. Beyond our core B2C products, we are actively exploring new growth opportunities , including non -hardware regular maintenance services like the AMC business, as well as B2B opportunities in information displays and commercial air conditioners.

To support these initiatives, we have redesigned our organization to accelerate execution and strengthen our growth capabilities. We established an export organization to scale exports, improve cost competitiveness, and strengthen LG India's global footprint, particularly in North America.

We also established a dedicated AMC organization to expand our AMC business, increasing profitability and deepening customer relationships. In addition, we have created the role of Chief Strategy Officer, to build a high -performance business portfolio, prepare for future opportunities and align company -wide growth initiatives.

Through these strategic actions, we are laying a more solid foundation for long -term growth. At the core of this journey is our commitment to shareholder value creation, sustainable growth and profitability, which will remain central to LG India's future journey.

I will now hand over to Mr. Atul Khanna, our Chief Accounting Officer, to walk you through financial performance. Thank you.

Atul Khanna: Thank you, Mr. Seo, and good evening everyone. Let me now share an overview of LG India's financial performance for the third quarter of fiscal year 2026. The quarter began on a positive note with the consumer durable industry, witnessing encouraging demand momentum. The GST rate rationalization announced earlier in September continued to provide a strong tailwind,

particularly in the Television category.

We saw healthy traction during the festival season, especially in the Premium segment where large screen and OLED models gained strong consumer preference. The combination of improved sentiments, wedding season demand and attractive financing options, helped drive LG Electronics India Limited

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growth across premium appliances. This translated into resilient market share gains and reaffirmed both the strength of our brand and power of our robust distribution network.

As we moved post the festive period, demand trend became subdued, especially in the compressor-based categories such as air conditioners and refrigerators. Cooler than expected weather conditions in the first half of the year, coupled with cautious consumer sentiment, weighed on volumes in these segments. Despite these challenges, we were able to increase our market share on a YTD basis, even after taking price hikes in select categories to offset input cost increase and FX pressure.

In Q3FY 2026, LG India reported a revenue from operations of INR 41.14 billion, compared to INR 43.96 billion in the same quarter last year. EBITDA stood at INR 1.96 billion with a margin of 4.8% versus INR 3.4 billion and 7.7% in quarter 3 FY 2025. EBITDA margin declined due to combined effect of subdued sales impacting operating leverage, increased input cost, currency-related headwinds and impact of the new Labour Code.

Let me now touch on working capital. As of 31st December 2025, our working capital stood at INR 11.3 billion, as compared to INR 8.1 billion as on 31st December 2024. The increase was primarily due to incremental inventory in compressor-led products as we are planning for upcoming summer season with new BEE norms and temporary support with extended additional payment days to our trade partners, offering them greater flexibility and support. Our cash and bank balance as of 31st December 2025 remains healthy, at INR 45.0 billion.

As disclosed earlier, in line with our long-term growth strategy, we continue to reinvest in our business. A key milestone is the upcoming expansion of our manufacturing capability with INR 5,000 crore investment in our Sri City plant in Andhra Pradesh. This facility is poised to become a strategic asset for both domestic operations and export markets, enhancing production capacity, improving logistics efficiency and supporting our localization roadmap.

The project is progressing in line with our internal targets and we expect to commence the first line of room air conditioner business operations in the last quarter of current calendar year that means, calendar year 2026. Importantly, the capex will be funded entirely through internal accruals, deployed in a phased manner over the next 4 to 5 years.

I would also like to highlight an important development. LG India has successfully entered into a nine-year Advance Pricing Agreement with Central Board of Direct Taxes, covering a period of 9 years – from FY '14 to FY '23. This agreement provides long-term certainty on transfer pricing matters and eliminates contingent liabilities

of nearly INR 4.87 billion related to direct taxes and royalty payments.

While there is a modest one-time tax outgo, the settlement significantly de-risks our tax profile, enhances transparency, and improves earnings visibility. This milestone further strengthens our financial foundation and reinforces confidence in our ability to deliver sustainable growth and shareholder value.

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With that, I would now like to hand over to Mr. Aditya Bhasin, Head IR, who will walk you through the segmental performance and share insights into our outlook for the coming quarters. Over to you, Mr. Bhasin.

Aditya Bhasin: Thank you, Atul ji, and good evening, everyone. Let me now take you through our segmental business performance for the third quarter of fiscal year 2026, starting with our Home Appliance & Air Solution segment. In the third quarter, our Home Appliance & Air Solution segment maintained clear leadership.

Festive demand supported growth, though post-Diwali softness moderated momentum in the compressor-led products. However, our premium launches, including French door refrigerators and AI-enabled washing machine 2.0, reinforced our leadership.

Let me now share the glimpse of product-wise market share for YTD December 2025. In the washing machine category, our market share stood at 33%, maintaining our leadership in this category. In refrigerators, we stood at 30%, an increase of 0.5% compared to YTD December 2024, which is reflecting the continued strength in our core appliance portfolio.

In the AC category, our share was 17.3% with an increase of 0.4% compared to YTD December 2024. In the premium category, our side-by-side refrigerator market share increased to 43.3%, an increase of 2.9%, highlighting our leadership in premium cooling segment.

Talking about segment financial performance, revenue for the segment was INR 27.88 billion compared to INR 30.91 billion last year, with EBIT margin of 4%. The margins decreased due to low revenue which impacted operating leverage, increased raw material prices including copper and aluminium, and foreign exchange volatility further added pressure on margin. Looking ahead at Q4 FY '26, the new BEE norms are boosting consumer interest in upgraded appliances, supporting demand recovery across categories. Overall, industry segment remains positive, with consumer preference for premium energy-efficient products and low penetration continues to provide opportunities in the volume zone. Margins continue to face pressure from elevated raw material cost and FX volatility, though industry-wide price adjustments are helping to partially mitigate these impacts.

During this quarter, we will be launching a new range of RACs and expand our BEE-rated refrigerator portfolio, including a 2 ton five-star air conditioner and a new range of French door models which will further strengthen our premium line up. In addition, we are entering the chest freezer category and introducing new essential products such as sub-1 ton, which is 0.9 ton inverter air conditioners, along with new range of 10 kg top-load washing machine and more variants of refrigerator.

These initiatives reinforce our leadership in the premium segment, while broadening our presence in the value segments, positioning us for sustainable growth across the portfolio. A favourable summer season is expected to further support the growth momentum and continue maintain market leadership.

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Moving on to our Home Entertainment segment. The segment saw strong traction at the start of the quarter, driven by festive and wedding season demand as well as the GST rate cut, particularly in televisions. Offline TV market share improved with OLED share rising to 62.4%, an increase of 2.7 percentage points, reinforcing our leadership in

premium televisions.

Demand softened post-festival, moderating overall momentum, but B2B growth in information displays continued to contribute positively. The segment revenue from operations stood at INR13.26 billion, up by 1.7% year-on-year from INR13.05 billion in Q3 FY25. Margins, however, were impacted by the post-festival demand slowdown and input cost pressures, though the premium TVs and B2B opportunities provided resilience.

Looking to Q4, the market continues to see traction in premium televisions supported by rising consumer preference for large screen formats. B2B growth in information display is being driven by increased government infrastructure spending in education and steady investments from the multinational company sector.

LG's premium portfolio resilience and operational efficiency are positioning the company to deliver sustained growth and profitability. The B2B business led by information displays is strengthening further by capitalizing on India's expanding infrastructure sectors, particularly in education and corporate investment.

Now to summarize, our Q3 results were below internal targets, but this is a temporary phase. Our long-term fundamentals remains unchanged. Despite demand challenges, we implemented price increase in key home appliance categories, protecting profitability while expanding year-to-date market share.

Q4, on the other side, has begun on a very strong note with broad-based sell-in growth across product lines led by category recovery in home appliance segment. Our fundamentals remains unchanged with strong brand equity, disciplined execution, and a clear focus on long-term shareholder value.

Strategically, we are expanding product leadership across premium and value segments through LG Essential, strengthening manufacturing capabilities through our upcoming Sri City facility, and driving innovation and localization to ensure our offerings are tailored to Indian households while remaining competitive.

With that, we conclude our remarks. We now request the operator to open the lines for the Q&A session. We look forward to addressing your questions.

Moderator: Thank you. Our first question comes from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Hi, thanks for the opportunity. My first question is on inflation. So, based on spot RM prices and the impact of new energy efficiency norms, what would be the price hikes required across categories, and how much is already passed through?

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Aditya Bhasin: This question will be addressed by our CO -CSMO, Mr. Sanjay Chitkara.

Sanjay Chitkara: So, we acknowledge that there was a price increase in input costs, particularly metals like copper and aluminium. But we are a global company and we have a massive large scale global procurement. And we have a very long -term raw material contract with our vendors and a excellent backward integration, so we can secure the best price for raw materials which helps manage and mitigate the volatility.

The new BEE norms are coming, and with this, we are improving the efficiency of our product by 11%. So with this, we are increasing the price. So there would be almost 7 to 8% price increase on three -star A cs and we are increasing prices by 9 to 10% on five -star ACs we are increasing for the new BEE star -rated products.

And as said, like we have seen a recent GST cut has been done, and that will largely offset this impact ensuring that effectively there is no burden on our customer, and they will get the A cs practically at last year price itself . As a market leader, we generally take to price hikes only when it is absolutely required and ensure that our price positioning remain competitive and to protect our margins.

how are other companies responding, we will not like to comment on that, but we are very confident

that our procurement strength, our product mix, our leadership position allows us to manage costs inflation effectively and manage our growth too. Thank you very much.

Umang Mehta: Thank you. And the second question I had was on your exports. So what is the level of confidence on doubling exports next year? Apart from tariffs, are there any other risks to this guidance? Thank you.

Aditya Bhasin: So this question will be addressed by Mr. Atul Khanna who is our C AO.

Atul Khanna: Thank you for the reasonable question. LG India currently exports around 6% to 7% of total revenue to 54 neighbouring countries such as Nepal, Bangladesh, Middle East and Southeast Asia. With our strong manufacturing capabilities and operational excellence, India has emerged as a global production hub for LG Group. Under the Global South initiative, expanding the business in fast -growing and emerging markets, India now stands at centre of our HQs export strategy.

LG India, plans to identify new export destinations from our third manufacturing facility to expand exports of premium products to wider markets. Internal preparations are underway, including revisions to the production line tailored to the expanding export markets. We are very confident about our export business moving forward from fiscal year '27 and onwards given U.S. tariff rationalization the signing of the EU FTA, giving us additional opportunities to add on to our export business.

Subject to external factors, we are aiming to doubling our exports from the next financial year, fiscal year '27. We have developed our production capability to manufacture premium products

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like side -by-side refrigerator s, large capacity top freezer s, which is 650 litres plus refrigerator, at our Pune manufacturing plant already. And these premium products have already passed the quality standard, usage pattern, and design specs of the U.S. market, which gives benefit to add up the new geographies like U.S. and other developed economies.

Overall, apart from this tariff structure risk, we remain confident of expanding our exports. These exports will not only drive revenue growth but also elevate premium production in India and improve margins, firmly positioning LG India as a future global export hub. Thank you.

Umang Mehta: Got it. Thank you so much sir.

Moderator: Thank you. The next question comes from the line of Sonali Salgaonkar from Jefferies Group. Please go ahead.

Sonali Salgaonkar: Thank you for the opportunity, and thanks team for the very good presentation at the outset. It's good to hear that the market share in key categories have been retained and also grown to a certain extent. Sir my first question is regarding the strategy of the company over the next 2 to 3 years. If you could let us know which are the key growth catalysts that you would require and where do you envisage them over the next 2 to 3 years?

Aditya Bhasin: So this question will be addressed by our CFO, Mr. Dongmyung Seo .

Dongmyung Seo: [Foreign Language] LG India continues to show resilience and strength even in a challenging environment. Our fundamentals remain solid, and we have steadily expanded our market share.

Going forward, growth will be driven by a stronger premium B2C portfolio, while we also

broaden our presence in the mass segment through the new LG Essential series, particularly targeting Tier 2 and Tier 3 markets and first-time buyers. We are also entering new product categories such as chest freezers to reach a wider consumer base.

On the B2B front, momentum will come from HVAC and information display solutions, supported by high-margin non-hardware recurring revenue streams such as the AMC business. Exports from our third factory will further extend our market reach and following the rationalization of U.S. tariffs, we are actively evaluating new oppo

rtunities.

Localization has already increased from 45.1% in FY '22 to 54.6% in Q3 FY '26, and will continue to rise under the Make in India initiative. Collectively, these initiatives will position LGE India to achieve sustainable and profitable growth over the next three years. Thank you.

Sonali Salgaonkar: Thank you, sir. So, my second question is regarding the price hikes again. Now, you did mention -- Mr. Chitkara did mention the 7% to 10% price hike in three to five-star aircons since January, but what about the other product categories? Can you also help us with the quantum of the price hikes in the other key categories and also when did you take them?

Thank you.

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Aditya Bhasin: This question will be addressed by our Co-CSMO, Mr. Sanjay Chitkara.

Sanjay Chitkara: So, I spoke about air conditioners, but specific to other products, we are increasing the prices for washing machine and refrigerator. It is to the tune of 2% to 3% and that price increase was taken in the month of November. And we are very vigilant about the situation so on the one hand, we want our product to be very competitive, but on the other hand, our margins are also our priority.

So, whenever any call is to be taken on price, we are taking it.

Sonali Salgaonkar: Got it sir. Thank you very much and all the best to the team.

Moderator: Thank you. The next question comes from the line of Sanjeev from Motilal Oswal Financial Services. Please go ahead.

Sanjeev: Thank you for the opportunity, sir. My first question is on margins. So, can you elaborate on specific cost items which has led to margin compression in this quarter? Because if we look at gross margin, that seems to be largely stable year-on-year. Also, what level of margin should we consider on a sustainable basis going forward?

Aditya Bhasin: So, this question will be addressed by our CAO, Mr. Atul Khanna.

Atul Khanna: Yes, thank you for the very reasonable question. Pressure on margins was a temporary phase in this quarter and there is no issue as far as company fundamentals are concerned. Q3 is traditionally the smallest quarter in our sales cycle, amounting is around 16% to 17% of our total revenue, and the revenue softness during this period had a direct impact on operating leverage, relatively in our compressor-based products where fixed cost absorption structurally impacted margins.

There is another one-time impact related to new wage code based government regulation change.

Thirdly, on the compliance cost, which is related to electronic waste, we added some burden on the margins along with RMC cost and FX fluctuation also impacted our margins.

We have also initiated a strong drive for annual maintenance contract business, which is a new revenue stream, where we have gained strong growth, though the top-line impact will come only when after the expiry of the product standard warranty, which is normally one year, which is when we have to pass the AMC incentive to partners and promoters, we have done that accounting as their obligation of sales completed. So, this is just a temporary timing gap with respect to the AMC incentive cost.

With respect to PAT, I need to highlight here that we signed an Advance Pricing Agreement with CBDT where one-time tax outgo impacted our PAT, but our contingent liability of INR488 crores comes to zero in relation to transfer pricing litigations and royalty payments to the parent company, and this is for a period of nine years, 2014 to 2023.

Our margin sustainability is driven by our strategic initiatives going forward as we have built on our localization rate to 54.6% in this quarter to reduce import dependency and manage cost

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inflation, channel mix and premiumization across all key product categories, expansion of our non-hardware

revenue AMC services to create a recurring high-margin revenue stream, focus

on our B2B business where recovery in government orders has already begun in Q3 and orders

are expected to contribute in Q4 from multinational company orders, giving us opportunities in education and infrastructure expansion.

With respect to exports, the US tariff rationalization, will help accelerate our commitment to Make India Global as we optimize production to serve both domestic needs and expand exports. We are assessing with our headquarters for the feasible allocation for FY 2027 and we are estimating almost doubling our exports in financial year 2027.

Despite these headwinds, we remain fundamentally strong. Q4 is historically our largest quarter, and we are confident of deliver double-digit revenue growth and EBITDA margin better than last year's Q4 in mid-teen digits. That is for Q4. Our overall outlook for FY '26 is to deliver early single-digit revenue growth with EBITDA margin in double-digit.

As you asked for the future outlook for FY '27, our guidance is very clear. With all our good initiatives, our guidance is to deliver double-digit revenue growth and sustain early-teen digit margins in line with our FY '25 margin levels, supported by premium product launches, diversified portfolio, strong brand equity. We are confident to reinforcing LG India's leadership and delivering sustainable value creation. Thank you.

Sanjeev: Thank you for the detailed answer, sir. Second question is on depreciation. There seems to be an increase on a sequential basis. So, what is the reason for that because I think most of the capex will be seen in FY '27?

Aditya Bhasin: This question will also be addressed by Mr. Atul.

Atul Khanna: So, depreciation, we all know that is an impact towards the capitalization for building the manufacturing capabilities, increasing our localization on sub-assemblies, and bringing in new technology innovative products.

During the year '25, 9-month period, April to December, the total investment amount was INR420 crores with respect to when we compare it to last year, it is INR 220 crores. So, the investment was being done to bring on our manufacturing capabilities localization. For that reason, the depreciation impact increases during this quarter with respect to last quarter, number one.

Number two, we get central government incentives on regular basis, for the capex investment under M-SIPS, Modified Special Incentive Package Schemes, which is also being accounted for to neutralize the impact of depreciation as it is being given for the capex investment only, considering the life of an asset.

During this quarter, we did not realize such high incentive of M-SIPS due to various factors including government budgetary issues, though from Q4, we will start receiving this on regular LG Electronics India Limited

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basis for our projects already in the pipeline for which we have already applied to the, Ministry of Electronics and IT, to get the incentive refunds. Thank you.

Sanjeev Singh: And can you give the quantum of the incentive, which you receive every quarter? Thank you so much.

Atul Khanna: So, amount particularly is based on the capex investment for each project of phase, as we do normally phase-wise investment like for refrigerator, air conditioners, washing machine, TV in our both the plants, existing plants.

So, we received the incentive in Q3 2025 a huge amount as the projects were little larger, where the larger projects we have already applied for the incentive refunds, which we will receive in Q4, as well as going forward in Q1 of FY 2027. Thank you.

Sanjeev: Okay. Thank you so much sir.

Moderator: The next question comes from the line of Praveen Sahay from Prabhudas Lilladher Capital. Please go ahead.

Praveen Sahay: Thank you for the opportunity. My first question is related to the

incentive as you had

highlighted that approximately around INR 705 crores you are going to receive from the Maharashtra government. So, can you give some specific timeline for the disbursement of that amount, and also LG India is expected to receive any portion in this financial year FY 2026, and how these incentives will be treated in our financial statements?

Aditya Bhasin This question has two parts. The first one will be addressed by our CFO, Mr. Dongmyung Seo, and the second one will be addressed by Mr. Atul Khanna.

Dongmyung Seo: [Foreign Language] Thank you for the question. On January 16, 2025, the Government of Maharashtra issued an eligibility certificate to LGE India under the Electronics Policy 2016 for a mega expansion projects.

This approval recognizes investments of INR 705.7 crores made between November 1, 2017 and October 30, 2024, qualifying us for incentives of the same amount in the form of SGST refunds, electricity duty and stamp duty exemptions, refunds of employees' EPF contributions, power tariff subsidies, and property tax exemptions.

The incentive entitlement is valid for 15 years starting from May 1, 2025 to April 30, 2040, with an annual disbursement cap of INR 47.04 crore. While the benefit will accrue over the 15 -year period, we expect to begin realizing a portion of these incentives in the current year.

In our financial statements, these incentives will be recognized as income -linked to the underlying expense categories, thereby, strengthening our profitability profile and enhancing cash flows, while also underscoring the government's confidence in LGE India's long -term growth and contribution to the state's industrial ecosystem. Thank you.

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Atul Khanna: With respect to your second question regarding how much would be booked in the current financial year FY '26, this entitlement is for 15 years with an overall cap of INR 47.04 crores. It is from May '25 to April 2040. So , we would be accounting for almost INR 43 crore s rupees in this fiscal year '26 as it is a period from May '25 to 31st March 2026. We will account INR 43 crores in this financial year. Thank you.

Praveen Sahay: All right. Thank you for this. Second question is related to the recycling cost related to the compliance. Last quarter also we had seen some cost has arisen out of that, this quarter as well. Is this cost is recurring in the nature, the way forward also, we'll continue to see. And how much is the quantum of that?

Aditya Bhasin: This question will also be addressed by Mr. Atul Khanna.

Atul Khanna: So, thank you for the question. The recycling cost, if you recall that I have explained in the last meeting, that the targets are for every two years and this , was changed revised as per the the government norms. Till fiscal year '25, the target for recycling was 60%, and now for fiscal year '26 and fiscal year '27 is 70%. And going forward for fiscal year '28 onwards, the target would be 80%. So for fiscal year '26, the target is 70%. So , increase in the 10% target has a resulted in increasing our incremental electronic recycling cost burden . That is the reason.

Praveen Sahay: Okay. Okay. Any quantum? Can you give?

Atul Khanna: If we talk about quantum -wise, this would be almost, I will say, 0.15% of our total revenue, in principle, the incremental portion with respect to fiscal year '25. Though this quarter, quarter 3 was soft in demand revenue, so that is the reason that it has impacted by 0.3%.

Praveen Sahay: Thank you, sir. And all the best.

Moderator: Thank you. The next question comes from the line of Natasha from Phillip Capital. Please go ahead.

Natasha: Thank you for the opportunity. So , my first question is on the TV product category. Now on the margin decline, it has been very sharp both Y -o-Y and sequentially. And assuming sequentially, there

was a GST rate cut and the benefit must have flown in. So is the margin off because of the global headwinds like your chip prices, panel prices, and then you import a lot of your BOM cost, so currency depreciation there?

And if it is so, these problems continue to persist. So -- and then we have a softer quarter that is Q4 and Q1 in terms of TV. Because this is a high -margin segment for you, would that mean that at least in the first half of this calendar, your home entertainment business could continue to see more pressure in terms of margins?

Aditya Bhasin: So, this question will also be addressed by our Co -CSMO Mr. Sanjay Chitkara.

Sanjay Chitkara: So yes, thanks for this question. Yes, there was some pressure on input cost, as you rightly mentioned. But for LG India, this impact was mitigated by our strong brand power . Because of LG Electronics India Limited

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our strong brand power, we were able to take some premium over other competition and a heavy premium heavy model mix.

And we are focusing more on larger screen to mitigate this pressure. In fact, industry data shows that 43 -inch and above TVs now account for two -thirds of sales in India, which is clearly reflecting that customer shifts towards the premium product. And when it comes to the premium products, LG becomes their natural choice. So , the demand dynamics support stable and even better margin despite of cost inflation .

Let me tell you that LG India continues to strengthen its profitability through cost -efficient local manufacturing premium TVs. By focusing on local manufacturing and procurement, the company reduces the import duties, logistics expenses, and currency risk. Currently, the local panel sourcing contributes roughly 29% for us, while overall local TV module procurement has already exceeded 55%.

The key components for TV like UHD 43, 55 module are already sourced locally and we have

a plan to expand this to the 32 -inch Full HD TV also module for the next year. So , this strategy is not only enhancing our profitability, but also strengthens our product portfolio and improving our market shares and increasing the overall business towards the premium demand. So , we are very watchful and we will incorporate price increases whenever it is needed for our new PRM. Natasha: Got it. So , can you just once again tell me the consolidated import in terms of BOM cost per TV, percentage -wise?

Sanjay Chitkara: So, see, we understand your interest on this information, but it's a bit competition -sensitive information. And we think that it is not a right place to disclose this.

Natasha: Understood. No problem. So , my second question is on, more again, near -term in terms of RAC, so you've mentioned that the secondaries have picked up. While it definitely has, just wanted to understand will that trigger primary sales too, because I believe the channel is choke -blocke d with inventory? So , would that lead to any strong primary growth in the near -term, say fourth quarter?

Aditya Bhasin: So, this question will be address by Mr. Sanjay Chitkara sir, again.

Sanjay Chitkara: So, see, we have already seen this AC season is very cyclical, and we have seen a softer summer last year. And we are very hopeful that this year will be a very hot summer. And we have already seen the reflection of this, January sale has shown a better resul ts as compared to the same period in the last financial year .

But we have to also see that our core demand drivers for, AC business is low penetration in India, premiumization and shift towards the energy -efficient ACs. We have recently introduced many missing segments in our AC business, like we were not present in five-star two -ton AC segment. We have now introduced this AC to the market.

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We were also not there in sub -one ton capacity .

Under our Essential series we have also provided that AC in the market. 12% of the industry 's portion is covered by fixed -speed ACs, another segment where too LG India was not present, this year we have entered this segment as well with more energy -efficient three star Acs.

Let me also tell you, it's a matter of great pride that during last financial year, LG was number two player in AC business, while this year we have gained absolute leadership in the AC business we are now the number one player in the AC business. We believe that this year the inventory has been already normalized, new BEE star rating ACs have come, we were the first one to introduce these AC s, overall channel motivation and confidence is very high and we will see a very good summer season this year.

Natasha: Understood sir. That's extremely helpful. Thank you and all the very best.

Moderator: Thank you. Our next question comes from the line of Pravin Yeolekar from Bajaj Life Insurance. Please go ahead.

Sujit Jain: Yes. Thank you for the opportunity. This is Sujit Jain. So just to get this right, Expo, you saying, could double in FY '27, itself in absolute terms, which is where \$160 million could practically double in next year. Is that correct?

Aditya Bhasin: This question will be addressed by our C AO, Mr. Atul K hanna ji.

Atul Khanna : Yes, I explained earlier in another question that yes, we hav e a plan to expand our exports and doubl e our exports from \$160 million, which was in FY '25 and FY '26 but in FY '27, we would be doubling our export sales , assuming that external factors stay conducive .

The U.S. tariff rationalization has happened and the EU, FT A has been signed giving us an opportunity to add on to our export business . These exports will not only drive revenue growth but also elevate premium production in India and improve our margins.

And we also have the product transfer of side -by-side refrigerator s, large capacity refrigerator, which is 650 liters plus capacity. We already have a production capability and capacity for this in our Pune plant. As we start our third manufacturing facility in Sri City, Andhra Pradesh, we are building a premium products line -up there as well and internal preparations are underway to increase our exports. Thank you.

Moderator: Thank you. The next question comes from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. Thanks, sir. Just two questions. Memory prices have gone up materially. So especially for the TV business and even the display business, how do you see the inflationary pressures? That is question one. And second question, if you can share more details on LG Essentials, what has been the initial market share gain, if you can call out any, and whether

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the product distribution has been across India, means, GT, MT, ECOM largely done, or what can be the upside in FY '27 and '28? Yes, thanks.

Aditya Bhasin: Thank you, Aniruddha. This question will be addressed by CO -CSMO, Mr. Sanjay Chitkaraji.

Sanjay Chitkara: So, in the interest of time, I would like to remind you that two questions have just been answered. So, I will move to your second part of your question, which is regarding the volume zone Essential series.

So let me first give you the context that India is a very large and diverse market with multiple customer segments. While LG was always a very strong premium brand, our intent is to extend that premium experience to a wider audience customer base. So, through value engineering and smart design, we are making products more affordable without compromising our core technology, energy efficiency and the reliability.

So, this LG Essential Series is not about chasing volume. Definitely it will chase the volume also, and it will help us to expand our market share. But it is also about br

inging new customers

into the overall LG ecosystem while maintaining our brand trust. So, we'll continue to focus on our premium product, our premiumization, energy efficient, innovation, service, AMC business, B2B solution business, and Essential Series will help us to participate in entry segments in a very disciplined way. So it is a very balanced strategy.

Talking about market share, which you just mentioned, so we have improved our market share this year. Our market share improvement during this calendar year for refrigerator it is 0.5%, room AC 0.4 % and TV category, it is 0.7%. Let me also tell you that our brand strength during this period has been very high. in the washing machine segment -- our gap with number two player has been the highest during this period.

For washing machine, we have created a gap of 15.8 % with the number two player, for refrigerator 5.9 % and for TVs 5%. Additionally, we are doing extremely well in the premium segment. Our OLED TV market share is 62.4 %, which has improved 2.6 -point over last year. Similarly for side-by-side, our current share is 43.3% which is also reflecting an improvement of 2.9%. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we would take that as the last question for today. I would now like to hand the conference over to Mr. Aditya Bhasin for the closing remarks.

Aditya Bhasin: Thank you, ladies and gentlemen. That was the last question for today and with this we conclude today's conference call. However, if there are any further queries or clarifications, please feel free to reach out to me. And on behalf of LG Electronics India Limited, we thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2026

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LGEIL/CGC/2026-27/19

Date: May 28, 2026

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C-1, Block G Phiroze Jeejeebhoy Towers
Bandra Kurla Complex, Dalal Street,
Bandra (E), Mumbai – 400 051 Mumbai – 400 001

NSE Symbol: LGEINDIA Scrip Code: 544576

Sub: Transcript of Earnings Call in respect of Financial Results for the quarter and financial year ended March 31, 2026

Dear Sir/Madam,

This is in reference to the Company's intimation dated May 13, 2026 filed with the Stock Exchanges pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding the Earnings call held to discuss the financial results of the Company for the quarter and financial year ended March 31, 2026, which was scheduled on May 22, 2026.

Further to the audio recording already submitted to the Stock Exchanges, we hereby enclose the Transcript of the said Earnings Call.

The same is also available on the Company's website at:
<https://www.lg.com/in/investorrelations/quarterly-reports/>

You are requested to take the same on record.

Thanking You,

Yours truly,
For LG Electronics India Limited

(Anuj Goyal)
Company Secretary and Compliance Officer

Encl: As above

MANAGEMENT : MR. DONGMYUNG SEO – WHOLE TIME DIRECTOR & CFO
MR. SANJAY CHITKARA – CO-CHIEF SALES & MARKETING OFFICER
MR. ATUL KHANNA – CHIEF ACCOUNTING OFFICER
MR. GURPINDERJEET SINGH – HEAD, FINANCIAL PLANNING
MR. GAGAN JEET SINGH – CHIEF MANUFACTURING OFFICER
MR. SOONJOO SEO – INVESTOR RELATIONS OFFICER
MR. ADITYA BHASIN – HEAD, INVESTOR RELATIONS

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the LG Electronics India Limited's Q4 and Full Year FY 2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star followed by zero on your phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you, Mr. Joshi.

Aniruddha Joshi : Thank you, Michelle. On behalf of ICICI Securities, we would like to welcome you all to Q4 FY26 earnings conference call of LG Electronics India Limited. I would like to inform you that this call is being recorded and the audio call and its transcript will be available on the company website. First of all, I would like to thank LG Electronics management for giving us the opportunity to host the conference call. I would now like to hand over the call to Mr. Aditya Bhasin, Head of Investor Relations of LG Electronics India. Thanks and over to you, sir.

Aditya Bhasin: Thank you, Aniruddha. A very good evening to everyone. I would like to welcome you to the Q4 and full year FY26 earnings conference call of LG Electronics India Limited. Hope you have gone through our earnings presentation uploaded on our website and the stock exchange. I also want to remind you of 'safe harbour'. We may be making some forward-looking statements that have to be understood in conjunction with the uncertainties and the risks that the company faces. We have our senior management here today, being represented by Mr. Dongmyung Seo, Chief Financial Officer, Mr. Sanjay Chitkara, Co-CEO, Mr. Atul Khanna, Chief Accounting Officer, Mr. Gaganjeet Singh, Chief Manufacturing Officer, Mr. Gurminderjeet Singh, Head Financial Planning, and Mr. Soonjoo Seo, Investor Relations Officer.

Without further delay, I would like to invite our IRO, Mr. Soonjoo Seo, to share his opening remarks and take us through LG Electronics India's performance and strategic highlights for the quarter and the full year. Thank you and over to you, sir.

Soonjoo Seo : Namaste. Hello everyone. Thank you for joining us today for the FY26 fourth quarter and full year earnings conference call. Despite the challenging external environment, LG Electronics India has continued to deliver steady performance. In FY26, we achieved meaningful growth together with our customers in India, driven by our strong market leadership in the domestic market. Let me first walk you through the FY26 fourth quarter.

During the quarter, we faced temporary headwinds including a delayed summer season, the US - Iran conflict, continued depreciation of the Indian Rupee and rising raw material costs. Despite these challenges, our business fundamentals remain strong. We are also firmly advancing our previously mentioned future growth strategic direction, Make in India, Make for India, and Make India Global. In the fourth quarter of FY26, we have achieved record high quarterly sales, which

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is a significant achievement for LG Electronics India and a clear reflection of the strength of our business model.

In particular, our export expansion direction, aligned with the Indian government's export policy, is gradually showing positive results. At the same time, our localized products, such as the new

Essential series, have been successfully established in the market and we are seeing growth across all product categories. This reflects both the depth of our product portfolio and the broad reach of our brand. In addition, our non-hardware business, especially AMC business, continues to grow. It is becoming an important recurring

revenue stream and is contributing positively to overall profitability for LG across multiple areas for LG Electronics India.

Looking ahead to FY27, we have established a clear roadmap for our future growth strategy. We call this strategy EXCEL. This stands for EX: Export expansion, C : Capability of new factory production, E : Expansion of market leadership, brand and new business, and L : Localization. Each of these pillars is already underway and we will now walk you through the progress and future plans in more detail.

First, let me begin with the most important pillar, export. As mentioned in our previous earnings call, we have already started exports of large capacity refrigerators to advanced markets in the first quarter of FY27. At the same time, we have also begun exporting our Essential Series to neighbouring countries.

Going forward, we aim to expand our export destinations and distributors, diversify our export product portfolio, and strengthen our dedicated export organization and infrastructure. These efforts represent an important step in our journey to transform LG Electronics India into a true global export hub. In addition, export growth provides a natural hedge against Rupee depreciation and is expected to significantly contribute to improving our profitability by enhancing cost competitiveness.

Secondly, the expansion of production capability at our third factory plant in Sri City is progressing smoothly and in line with our internal goals. Production of compressors in FY27 third quarter and room air conditioners is scheduled to start in the fourth quarter of FY27, covering the January to March period. With a total planned investment of INR50 billion, Sri City will be established as a key manufacturing and export hub for the future.

Third, our product strategy is based on a two-track approach, covering both the premium segment and Essential Series, which represents the mass premium segment. We are proud to maintain market leadership across all major product categories in India. Looking ahead, we will further strengthen our market leadership while continuing to launch differentiated products and expand investments in new business areas.

Fourth, we continue to advance our localization strategy. This year, our localization rate reached 55.2%, an improvement of about 1.4% points year-on-year. We are targeting an annual increase of more than 1 % to 2% points going forward. We expect this to contribute to stronger cost competitiveness and more stable management of foreign exchange volatility.

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Looking at the first quarter of FY27, sales performance in April and May has already been encouraging. For FY27, we are targeting mid-teen digit revenue growth and early double-digit EBITDA margins. Given the relatively low penetration rate in the Indian market and strong demand for home appliances, we believe there is a significant structural growth opportunity ahead.

We will capture these opportunities by listening closely to the voice of the market and responding quickly and precisely, thereby strengthening our market position. Our goal is not to simply grow the business. We aim to deliver the best technology to homes in India, build world-class manufacturing capabilities in India, and establish a platform that delivers the best products in India to global markets through export. Make-in-India, Make-for-India, and Make-India-Global.

Now I would like to invite our CAO, Mr. Atul Khanna, to walk you through our financial performance.

Atul Khanna: Thank you, Mr. Soonjoo Seo, and good evening everyone. It is my pleasure to take you through our financial performance for the fourth quarter and the full year of fiscal year '26. The fourth quarter, as guided, proved to be our strongest of the year, delivering the highest ever quarterly revenue from operations. Revenue stood

at INR80.54 billion, reflecting year-on-year growth of 8.1% compared to INR74.48 billion in Q4 FY 25.

Growth was broad-based, led by Home Appliances and Air Solution segment, supported by a strong summer season and a successful BE E transition. We continue to maintain market leadership across key categories, driven by our two-track strategy that balances growth across both, premium and mass-premium segments.

Large panel TVs, French door refrigerators and LG Essential appliances all contributed meaningfully to this performance, reinforcing both our brand strength and consumer trust.

EBITDA for the quarter came in at INR9.45 billion, with a margin of 11.7%. Net profit stood at INR6.93 billion, translating to a PAT margin of 8.5%. Importantly, EBITDA margin improved by 7% sequentially. However, year-on-year margins were impacted by Rupee depreciation and elevated commodity prices. Looking ahead, we remain confident in our ability to improve margins further, with a sharp focus on managing inflationary pressures and input costs.

Now I'm coming to the full year performance. For the full year, LG India reported revenue from operations of INR246.05 billion, reflecting 1.0% growth year-on-year. While the first half was impacted by GST transition timing, a cooler than expected summer and geopolitical headwinds, our second half recovery demonstrated the underlying strength of our business model.

Full year EBITDA stood at INR24.08 billion with an EBITDA margin of 9.8%. Full year net profit stood at INR16.85 billion with a PAT margin of 6.8%. Our B2B business has emerged as a growing contributor to our revenue mix in FY26. We saw strong order inflows from LG Electronics India Limited

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government infrastructure projects, recovery in corporate and hospitality sector orders, and continued traction in our commercial air conditioning business driven by IT parks, commercial real estate, and institutional buyers.

Our Annual Maintenance Contract business is building into a high margin recurring revenue stream that deepens our relationship with B2C customers beyond the point-of-sale. Together, these streams are gradually shifting our revenue mix towards higher quality and more predictable income.

As of 31st March 2026, our working capital stood at INR22.73 billion. Inventory levels have normalized following the new BEE ratings transition, with healthy channel inventory now heading into financial year '27. Our cash and bank balance remains robust at INR44.76 billion, providing us the financial flexibility to fund our Sri City manufacturing facility investment entirely through our internal accruals.

Free cash flow for FY26 was strong, further reinforcing our ability to support growth initiatives while maintaining balance sheet strength. Capital expenditure for FY26 across our existing facilities amounted to approximately INR5.51 billion, consistent with our usual annual investment range of 2% to 2.5% of total revenue.

For the new plant at Sri City, we have committed a total investment of INR50 billion over the coming years. By FY26, around INR6.57 billion has already been deployed under capital work in progress and capital advances for construction and machinery. Looking ahead, we have substantial capex plans for the Sri City plant over the next two years, which will be fully funded through our internal accruals.

Return on equity and return on capital employed for FY26 have moderated, compared to financial year '25. This reflects two factors. Our cash balance has remained deliberately high as we build reserves to fund our Sri City plant through internal accruals, and first half profitability was impacted by the external headwinds as discussed earlier.

This moderation is transitory in nature, as Sri City capital gets deployed and starts generating returns, and as profitability normalizes in FY27, we expect our return ratios to improve

and

meaningfully. Our business fundamentals remain strong, our balance sheet is healthy, and our long-term strategy is firmly on track.

With that, I would like to hand over to Mr. Aditya Bhasin, Head Investor Relations, who will walk you through our segmental performance and outlook for FY27. Over to you, Mr. Bhasin.

Aditya Bhasin: Thank you, Atulji. Good evening once again. Let me now take you through our segmental business performance for Q4 and full year FY2026.

To start with Home Appliance and Air Solution, the H&A segment growth was driven by broad-based demand recovery and premium-led momentum following the BEE rating transition.

Premium categories performed particularly well. Fully automatic washing machines, French LG Electronics India Limited

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door refrigerators, and 5-star rated room air conditioners all delivered higher average selling prices, which contributed to a richer product mix. Our dishwashers business also emerged as an important growth driver this quarter, gaining meaningful traction as urban consumers increasingly embrace the convenience it offers.

Segment revenue for Q4 FY26 stood at INR65.16 billion, representing a year-on-year growth of 5.7% with a sequential growth of 133.7% over Q3, reflecting the strong seasonal demand

uplift. For the full year, segment revenue stood at INR181.60 billion.

EBIT margin for the segment was 11.9% for the quarter. Margins were impacted by rising commodity costs, Rupee depreciation, and strategic channel investments made for new product introductions. These channel investments are being made deliberately to build long-term distribution depth.

Moving on to Home Entertainment segment, it delivered a strong Q4 with the revenue growing 19.6% year-on-year and 15.9% sequentially. Growth was driven by surging demand for large screen televisions, supported by the Cricket World Cup, which provided a meaningful near-term tailwind.

Our information display business recorded strong growth with healthy order inflows across commercial TV and signage from the government, corporate, and institutional buyers. In the premium television segment, LG maintained absolute leadership with an OLED market share of 60.0% as of YTD March 2026.

Segment revenue for Q4 FY26 stood at INR15.37 billion. For the full year, segment revenue stood at INR64.44 billion. EBIT margin for the segment was 13.4% for the quarter, impacted by Rupee depreciation and increased marketing investments to capitalize on Cricket World Cup demand, a deliberate and time-bound spend, partially offset by strong cost discipline and healthy contribution from our B2B business.

Coming onto the market shares, across all major product categories, washing machines, refrigerators, air conditioners, and television, LG India has continued and strengthened its market leadership.

Our premium segment registered higher growth, reflecting the continued success of our premiumization strategy across categories. We are proud of the consistent trust that Indian consumers and trade partners place in our brand and we remain firmly committed to protect and grow this leadership in every category we operate in.

Talking about the Q1 FY27 outlook by segment, starting with the Home Appliance and Air Solutions, we are now witnessing strong demand momentum in room air conditioners and washing machines, supported by premium refrigerators, including side-by-side and French door models.

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The Essential Series is well-positioned to capture the summer surge with early sell-through data looking encouraging and channel inventory remaining lean. Exports of the Essential Series and premium products to key global markets are expected to add an incremental growth lever.

In System Air Conditioner category, we are launching a new 5-star model, a critical enabler for government

project bidding and institutional business growth. In Home Entertainment segment, new product introductions in larger screen sizes and premium offerings will sustain our market leadership.

Our B2B business is supported by a healthy order pipeline. Under our Make in India initiative in the information display category, upcoming launches including the electronic blackboard and the second generation micro LED magnet with meaningful cost reductions are expected to drive the margin recovery.

Overall, we enter FY27 with strong momentum, encouraging early sell-through data with lean channel inventory heading into the summer season. And we are targeting mid-teen revenue growth in FY27. On the margin side in FY27, we are targeting improved early teen EBITDA margins, better than last year.

Key levers for margin improvement include continued localization improvement, operating leverage from higher revenue volumes, a richer product and segment mix, and scaling of high margin AMC and B2B revenues. Industry-wide price increases already underway will also support gradual margin normalization across the sector.

Having said that, we remain watchful of cost pressures from currency depreciation and geopolitical risks. LG will constantly work on cost optimization, localization, and better operational efficiencies to navigate these headwinds. The market is recovering strongly with heatwave conditions driving compressor-based product uptake and GST cuts continuing to promote premiumization and large screen adoption in televisions.

To summarize, in FY2026 we faced external challenges with discipline and resilience. We delivered our highest ever quarterly revenue in Q4, crossed the historic milestone of 1 million plus room air conditioner sales, strengthened our market leadership across every major category, and laid a strong foundation across manufacturing, exports, and new categories for FY27.

The fundamentals of our business are strong, our strategy is clear, and our organization is energized for what lies ahead. We are deeply grateful for the continued trust and support of our shareholders, our trade partners, and most importantly, the Indian consumers.

With that, we conclude our prepared remarks and request the operator to open the lines for the Q&A session. We look forward to your questions. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen. We will now begin the question and answer session. The first question is from the line of Siddhartha Bera from Nomura. Please go ahead.

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Siddhartha Bera: Hi, sir. Thanks for the opportunity. Sir, my first question is, while we have seen revenues growing at 8% Y-o-Y in the quarter, we have not seen any operating leverage play out, which has led to decline in EBITDA margins on a Y-o-Y basis. Can you please explain what is the reason for this and how should we think about the coming year?

Aditya Bhasin: Thank you, Siddhartha for the question. This question will be addressed by our Chief Accounting Officer, Mr. Atul Khanna, after the Korean translation. Please hold on.

Atul Khanna: Thank you for this question. And this is a very valid observation. Despite a challenging global environment, our sales grew by 8.1% in quarter 4 '26, which provided some operating leverage benefit. However, the margin declined by approximately 250 bps, which was driven by a combination of few factors.

To start with, raw material costs remained broadly at similar levels but impacted marginally due to the pressure of commodity prices. However, the rupee depreciated almost by 5.6% year-on-year in this quarter, creating a meaningful headwind on our import cost. The single largest contributor was our channel promotion investments, which impacted margins by approximately 1.1%. These were temporary strategic investments made to separate our

channel partners, drive

sell-out, and strengthen our market position during this quarter, and build confidence among our channel partners.

Currency depreciation was another significant factor impacting the margins again by approximately 1%.

Electronic waste cost, which is a compliance cost, added a further impact of approximately 0.2% as our recycling targets increased from 60% to 70% as per government regulations. Looking ahead, with the price hikes now in place across categories, promotional intensity rationalizing, hot summer going on, we are confident of recovering our margins for financial year '27 and to deliver our early double digit EBITDA margins for '27 full year. Thank you.

Siddhartha Bera: Thanks for this, sir. My second question is on the outlook side. Can you clarify what is LG doing differently compared to peers, which will help it grow ahead of the industry? And how will margins improve from the current levels as conditions normalize going ahead?

Aditya Bhasin: So, this question will be addressed by our respected CFO, Mr. Dongmyung Seo, after the Korean translation.

Dongmyung Seo: Thank you for your question. As mentioned earlier, our confidence in outperforming industry growth does not rely on a single factor. It comes from our clear differentiation and multiple growth drivers. On the revenue side, exports are scaling up meaningfully. We are entering neighboring countries and key global markets through our essential series and premium product lines, achieving steady growth beyond the domestic B2C business.

The B2B segment is recovering strongly with ID recently achieving its highest ever quarterly sales. Meanwhile, the non-hardware AMC business which generates high margin recurring

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revenue is expected to drive additional growth in FY2026 and serve as a stable growth engine.

New product categories are delivering strong contribution to our revenue.

Under our two-track strategy, premium French door refrigerators are gaining solid traction while dishwashers have already doubled revenue this year. At the same time, we also launched the new Essential Series, allowing us to reach new consumer segments and untapped geographies. Looking ahead, our entry into the segment of chest freezers will serve as an additional growth driver, further expanding LG's portfolio and strengthening revenue streams. From a margin improvement perspective, we see three clear opportunities.

First, we have positioned exports as our core growth engine. This provides the most opportunity to improve profitability and enhance overall margin performance. Second, localization, which currently stands at 55.2% and continues to grow, is central to our Make in India strategy.

By deepening local manufacturing, we're reducing import dependency, lowering currency exposure and strengthening our cost structure. Third, higher margin businesses such as AMC and B2B are expected to account for a larger share of our revenue compared to our core B2C business.

If the geopolitical situation in the Middle East stabilizes, lower oil prices and improved raw material costs are expected to follow. This in turn could drive capital inflows into India and support a recovery in consumer demand. In the consumer demand sector, we anticipate both, revenue growth driven by stronger demand and significant margin improvement supported by cost optimization. To capture these opportunities, we will pursue a premium and mass premium portfolio strategy to enhance both growth and profitability.

Siddhartha Bera: Understood.

Moderator: Thank you. The next question is from the line of Sonali from Jefferies. Please go ahead.

Sonali: Thank you for the opportunity and I must say, it's good to see a double-digit EBITDA margin, especially in the current uncertain macros and the cost headwind. So, congratulations to the team for that. I

have three questions. The first on the current industry scenario, you did mention that the demand is very strong?

So can you please help us understand the channel inventory right now versus say a comparison at the start of the year? My second question is regarding the price hikes across all product segments. So we know broadly that for aircons it is 12% to 13%, but across the rest, washers and TVs as well and do you think they are enough to sustain the margins or improve them going forward or should we take further hikes? And the third is regarding capex, the capex outlook for FY27 and also the update on the timelines of the new plant commissioning? Thank you.

Aditya Bhasin: Thank you Sonali for the question. The first part of the question is related to the inventory which will be handed over to Mr. Gurpinder Singh. He will give you the answer for that. For the second LG Electronics India Limited

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question is about the price hike which will be taken care by Mr. Sanjay Chitkara who is our Co-CSMO. And third one is the capex which Mr. Atul Khanna, our Chief Accounting Officer will respond to after the current translation. Please hold on.

Gurpinder Singh: Thank you for this question. This is regarding the channel inventory of AC. So basically I would like to share that Q4 is a big period for AC business for us. 55% of our annual business comes from Q4. And during this period, as per our strategy, we filled the channel with AC inventory to ensure sufficient stock availability during the summer. I would like to share with you that we have sold more than 1 million ACs in Q4 FY26. Regarding channel inventory, the AC industry entered Q1 FY27 with the same inventory levels as last year. Yes there was a little stress due to the spell of low temperature during March, which temporarily slowed down the normal sell-out cycle.

As a result, dealers approached the season with cautiousness, given the elevated inventory and slower start to sales. In LG's case, on the contrary, our inventory levels were aligned with our planning and remain manageable and we were closely monitoring the pace of sell-out. Dealer sentiment was steady, but like the rest of the industry, partners were watchful of how quickly demand picks up with the weather.

Importantly, the current sell-out trend is strongly supported by high temperatures across regions, helping us drive demand and ease channel pressure. We have also supported our partners with timely product availability including the launch of new BEE rated compliant models which has kept their engagement active. Thank you.

Sanjay Chitkara: I am Sanjay Chitkara, I am Co-Chief Sales and Marketing Officer at LG India. I will answer about the price increase. So you know we always approach our pricing increase very thoughtfully with balanced decisions, always guided by three key factors. First is our brand's position, second is our market competitiveness, and third and foremost is our profitability.

So we do not take any pricing action in isolation and we take a very balanced approach for our consumer, trade partners, and our business. So for ACs, we took a calibrated price adjustment in two phases. In the first phase, it was clearly driven by a structural change of new BEE star ratings announcement and that was required to make a meaningful upgrade to the product specification helping deliver more energy efficient standards to our consumers.

The second adjustment was taken to protect our margin due to increased input cost and exchange rate movements. And once we took this decision, we were the first one to take this bold decision and others also followed us. And this is why our competitive price positioning has not changed in the market.

We are also simultaneously working on multiple internal levers depending upon deepening our component localization, trying to reduce our dependence

on currency fluctuation, and

continuous cost optimization across our operations, and actively improving our model mix so that our premium market share goes up and higher star rating products sell more and profitability can be improved.

Together these levers are giving us a sustainable and balanced path to improving our profitability than deeply depending upon price adjustment alone. Furthermore, we should not forget that GST cut on RACs has significantly benefited consumers, which has offset the impact of the price adjustments and keeping our products accessible and affordable.

For refrigerator and washing machines, we have also taken similar price adjustments. Consumer and channel response have been encouraging and there is no impact on our sales and sales targeted sales growth. As far as further price increase actions are concerned, we do not have any immediate plan at this stage, but we are very cautious and monitoring the situation. However, we will continue to closely monitor the raw material prices, currency movements, and market conditions, and take a calibrated decision as and when required. Thank you very much.

Atul Khanna: This is Atul Khanna and now I will answer your third question on Sri City plant timeline as well as the investment plan. I am pleased to confirm that our Sri City plant construction is fully on track as per our plan and we remain committed to our INR 5,000 crore investment roadmap, deployed in a phased manner over the next few years, funded entirely from our internal accruals. Coming to the specific timelines, our aircon compressor production line is scheduled to commence operations in the last quarter of calendar year 2026, which is third quarter of FY27 as communicated earlier, followed by an aircon production line operational in first quarter of 2027 which would be quarter four of FY27.

Washing machine and refrigerator lines will be added thereafter in a phased manner. Our next two years investment is majorly planned to cover our total INR 5,000 crore of investment. And currently, till March 2026, we have invested INR 657 crore already.

From a people perspective, we have already initiated hiring for key staff and other critical functions. This reflects our confidence in construction timelines and underscores our commitment to ensuring full operational readiness when the plant goes live. By building capabilities ahead of schedule, we are de-risking execution and strengthening our talent pipeline, a proactive step that supports seamless ramp-up once operations commence.

This facility represents a strategic assay for both our domestic operations and expanding export ambitions. It will expand production capacity, enhance logistics efficiency, particularly for our South India business, which contributes 38% to 40% of our total business, and also reinforce our localization roadmap. We see this as a key driver of sustainable growth and long-term shareholder value creation. Thank you.

Sonali: Thank you team and all the best.

Moderator: Thank you. The next question is from the line of Vishal Goel from HSBC Securities and Capital Markets. Please go ahead.

Vishal Goel: Yes, thanks for the opportunity. I have two questions. First one is on exports. So your initial comments were very encouraging. But given that current global environment, do

you still maintain your earlier export guidance of doubling the exports compared to last year? And my second question is on Essential Series. So just want to check what is the response you are getting on the Essential series so far from the market and what are the products in this entry level line you are which is scheduled for launch? So these are my two questions. Thank you.

Aditya Bhasin: So the first part of the question will be a

ddressed by Mr. Atul Khanna, who's our Chief

Accounting Officer and the second part is about the Essential Series progress will be addressed by Mr. Sanjay Chitkara, our Co-PSMO, after the Korean translation.

Atul Khanna: So, thank you for your first question. Let me address that about exports. Our export business is consistently delivering better margins and we are expanding our exports going forward for FY27. As you rightly mentioned, under our 'global south strategy', we are expanding our export base with a greater share of premium products. And as part of this plan we will be exporting high value offerings such as side-by-side refrigerators and Top Freezers (790 liter plus) and front-load washing machines that are all manufactured in India for developed markets, while also supplying LG Essential Series to other developing countries.

This approach ensures a well-diversified export portfolio across geographies and price points strengthening both growth and margins. So, our clear guidance is to expand our exports very significantly considering the Middle East situation so far. As a part of LG's global growth, we benefit from our order allocations from headquarters giving us a clear demand visibility, a key

advantage over peers in terms of currency fluctuation. Our export receivables naturally hedge import payable creating a built-in currency buffer as export scales. Further, this natural hedge will continue to strengthen our profitability with our diversified portfolio across developed and emerging market reducing geographical risk. Through our Pune plant we have already built on our premium product capacity which will support exports of the premium side-by-side refrigerators, Top Freezers and Front loading washing machines. We are also building our capability and capacity through our Sri City plant in FY27 to boost the capacity to double, to further support our future export plans and increase our asset return and margins FY27 onwards.

Sanjay Chitkara: Thank you. I will answer on the Essential Series. Essential Series is a product lineup that we introduced on 14th of October last year. Prior to launching this range, we actually visited 1200 Indian households across India's tier 2 and tier 3 towns. The Essential Series was designed to meet every day needs with a strong emphasis on durability, functionality and the same LG aesthetic appeal. It reflects LG's commitments to delivering affordable premium offerings across both home appliances and electronics.

Regarding the response of this product, this range was initially offered with only limited SKUs, but yet, the response has been very encouraging. For the washing machine alone, we have sold 1 lakh units. In Q4 FY'26 and the similar period we sold roughly 80,000 Essential Series refrigerators. On the RAC front, we introduced a lower than 1 ton capacity unit which was 0.8 LG Electronics India Limited

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ton and the sale was roughly 20,000 units. In the near future, we will further expand this series in various capacities, various variants, color and designs.

We will also expand the Essential Series in televisions as well. Currently we are commencing exports as my colleague Mr. Atul Khanna also explained earlier. We are expanding the export of Essential Series to 22 countries. Thank you very much.

Vishal Goyal: Thank you for a detailed response. Thanks team.

Moderator: Thank you. The next question is from the line of Sanjeev Kumar Singh from Motilal Oswal Financial Services. Please go ahead.

Sanjeev Singh: Thank you for the opportunity, Sir. First question is in terms of demand. So, you mentioned in your opening remark that there has been a significant improvement in demand in April and May 26. Can you throw some light on how has been the industry growth rate as well as our growth rate in these two months? You also discussed about the price hike

in different categories. Are these hikes sufficient to offset cost increases which have been seen till now or you need to take some more price hikes?

Management: Both these questions will be addressed by Co-ESMO Mr. Sanjay Chitkara after the Korean translation.

Sanjay Chitkara: Thank you for the question. Let me address this category wise. First, let me talk about air conditioners. We had a very strong last quarter and demand picked very well for ACs. India is a very diverse tropical weather country, where we have high ambient temperature, long summers and therefore the AC has become a necessity now. Notably, the penetration of ACs is also very low. Currently, it is touching only 13%, so good demand is assured for mid and long term.

This year we prepared well for our AC products and we launched early new BEE star-rated air conditioners in the market and hit the 1-million-unit mark in quarter four, which is historically the highest AC sales for LG Electronics, a proud moment for us all, with the current summer trends and GST cuts.

ACs are very well supported by the summer demand, and we will surely deliver good growth over last year. Refrigerator demand is also steady and moving as per expectations. Customers are choosing larger and more energy-efficient models, which is a very positive signal for us. Our French door refrigerators are also doing extremely well. We launched these products in the month of November, and our market share jumped from 5% to 14% by March 2026 and we will become number one player for French door refrigerator very soon.

Regarding washing machine category, it is also on track. Essential range is doing very well for first time buyers, and it has been very well received in the market. We sold, as I mentioned earlier also, we sold nearly 1 lakh units in Q4 alone. Especially in the smaller towns and cities.

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Regarding televisions, the demand is steady and customers are clearly moving towards bigger

screens that are 55 inch and above. We grew 47% in the 55-inch segment. And now this segment has become 49% of our business. We achieved 20% plus growth in televisions in Q4, which is very encouraging.

What gives us further confidence is that India is still a very under -penetrated country for home appliances , as compared to other developed nations. So, the long -term growth opportunity is very large. The recent GST reductions have also made our products more affordable for the customer.

Putting it all together, we are very confident of delivering strong double digit, mid -teen digit growth across all four categories for FY'27. Regarding the price increase , I have just answered the price increase question and we are clearly vigilant and observing the currency movement. As of now, it is too early and too premature to announce any future price increase. Currently we are focusing on cost optimization, operational efficiency and our localization rate to mitigate the currency fluctuation impact. Thank you very much.

Sanjeev Singh: My second question is in terms of new product categories. So, you had given a press release in the first week of May mentioning new product categories like chest freezers, fixed -speed room ACs and large size refrigerators. So, can you throw some more insight on this , whether these are meant for domestic market, exports, and what are the market opportunities? Thank you.

Aditya Bhasin: So, this question will also, be addressed by our Co -CSMO Mr. Sanjay Chitkara after the Korean translation.

Sanjay Chitkara: Thank you very much for this question. So, you know we are very excited about our new categories which we have recently introduced or planning to introduce. First, I would like to talk about our French door refrigerators. So, we entered this category in the month of December 2025 and we have moved very quickly to

capture this opportunity.

As I mentioned just now , our market share is growing very significantly in this segment – from 5% to 14% is what our market share jumped to in Q4 and we aim to become the number one player in this category . These refrigerators are becoming very popular in India because they are designed for Indian kitchen needs, with layouts that are very suitable for Indian consumers.

On chest freezer, this is entirely a new category for LG India. And we are launching a strong range for five models in the upcoming quarter at very competitive price s. Currently the chest freezer market sizes is roughly around INR3000 crore s. And it will create new business revenue for us in the near term . Similarly, w e were not present in the fixed -speed AC segment earlier either . This year we introduced this missing segment in our portfolio as well .

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And we have now addressed it with more energy efficient models, reinforcing our technology leadership even in the value segment. We also introduced a sub -1-ton capacity air conditioner model this year in the Essential Series category .

Coming to the last and my favourite category - dishwasher s. This too has been a very strong success story for us. Sales have been growing significantly year -on-year and we have moved up to become the number two player in this category. And our ambition is very clear – we want to become the number one player in this segment . Our new higher capacity model like the 14 plate and true steam wash models are emerging as key driver s in the segment.

Recently we have also started production of our double door refrigerator of 674 litre and 790 litre side-by-side refrigerator in our Pune plant , a size that no one else is currently producing in India . It strengthens our Make -in-India commitment . We are also excited about the LG Essential Series , with its multiple new SKU lineup across categories and we are confident that with the help of all new segments , we will register a mid -teen growth . Thank you very much.

Sanjeev Singh: Thank you for your detailed response, sir.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. Aditya Bhasin for closing comments. Thank you and over to you, sir.

Aditya Bhasin: Thank you all of you for attending our LG Q4 FY26 and full year FY26 earnings call. With this, we conclude today's discussion. Should you have any pending questions or require further clarification, please don't hesitate to call me directly. Thank you and have a nice day.

Moderator: Thank you, members of the management. On behalf of LG Electronics India Limited, this concludes our conference. We thank you for joining us and you may now disconnect your lines. Thank you.